Keysight Technologies

KEYS | NYSE | 2026-10-07

Q4 2027 model ceiling: USD 370.80

Analytical Base 44/60 = 73 | High conviction / qualification and timing watch

20x forward-four-quarter fully expensed GAAP operating profit, less USD521m net financial and pension claims after an operating cash reserve, divided by end-window diluted shares. Quarter plus next three.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 388.03 per share (2026-10-06 close); 170.245 million common shares (2026-08-27); estimated equity capitalization USD 66,060.1 million. Common shares from SEC filing cover; quotation from dated exchange history. This dated common-share snapshot is separate from forecast diluted shares.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	3,242.7	20x	173.500	370.80

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Consolidated common-equity operating earnings including SBC, depreciation and acquisition amortization. Net claims = 2550 debt + 76 pension + 500 operating cash reserve - 2605 cash. Future cash generation and buybacks receive no extra valuation credit. 20x forward-four-quarter fully expensed GAAP operating profit, less USD521m net financial and pension claims after an operating cash reserve, divided by end-window diluted shares. Quarter plus next three.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD m unless a different unit is stated.

Thesis

The active Q4 2027 model ceiling is **$370.80 per diluted share**, using 20x forward-four-quarter fully expensed operating profit, less $521 million of net financial and pension claims after an operating cash reserve. The analytical Base is **73/100**. The earnings window is Q4 2027 through Q3 2028. These are analyst-built operating assumptions, not an imported bank target or a literal net-income P/E.

Keysight addresses a real engineering problem: higher signaling speeds and more complicated optical interfaces make a working prototype insufficient. A customer must demonstrate repeatable signal quality, interoperability, manufacturing yield and performance under realistic traffic before expensive infrastructure can be deployed. Keysight sells the instruments, software, calibration, simulation and service that produce that evidence. Its opportunity is the customer's test budget and the cost of delayed qualification, rather than the entire AI infrastructure budget.

The customer buys a validated result

At 224 Gb/s per electrical lane, reduced timing and voltage margins make the fixture, connection, clock recovery and analysis method part of the measurement. An inaccurate test can reject usable hardware or approve a marginal link. Either error becomes expensive when repeated across a manufacturing line or deployed cluster. The instrument must distinguish the device under test from noise and distortion introduced by its own measurement chain.

Keysight's March 13 release identifies concrete products. N1095DJCA optical transmitter software measures IEEE 802.3dj-aligned optical conformance on DCA equipment; N1091DJPA addresses electrical transmitter validation. N1096 multimode sampling oscilloscopes support 224 Gb/s, or 112 GBd PAM4, measurements. PAM4 encodes two bits per symbol, so the data rate and baud rate must not be substituted for each other. The release establishes product availability and function, not a disclosed customer purchase volume or an across-the-board monopoly. Original 224G product release

The complementary N4378A lightwave component analyzer illustrates why the revenue opportunity spans hardware and workflow. The original technical overview specifies calibrated electro-optical measurements from 100 MHz to 220 GHz, with 1310 nm and 1550 nm de-embedding options. The system combines an optical transmitter or receiver, a vector network analyzer, frequency extenders, fixtures, calibration standards and software. Configuration changes with whether the customer measures modulators, photodiodes or a full device.

Flexible Configurations

In its most complete configuration, capable of performing S-parameter measurements on photodiodes and optical modulators, the N4378A 220 GHz Lightwave Component Analyzer includes an N4378RA optical receiver, and an N4378TA optical transmitter connected to an N4378CA transmitter controller. Both optical heads come with an N4378FA mechanical fixture that ensures proper mechanical alignment between the NA5307A or NA5305A frequency extender heads which extend the bandwidth of a standard PNA/PNA-X with 26.5 GHz or 67 GHz up to 250 GHz electrical bandwidth. The LCA software is installed on the PNA and provides comprehensive user guidance for electro-optical measurements. New wizards help novice and experienced users through more complex measurement tasks. Through the new N4370AMFA software license, advanced measurement functions can be unlocked that automate Total Harmonic Distortion (THD), Relative Intensity Noise (RIN) and gain compression measurements on optoelectronic components.

A configuration specifically suitable for the measurement of optical transmitters or optical modulators consists of only the N4378RA optical receiver combined with a PNA/PNA-X, N5292A test set controller and a minimum of two NA5307A/NA5305A frequency extenders. Three frequency extenders are required for modulators with symmetrical/dual drive input.

Likewise, a configuration for the measurement of optical receivers or photodiodes consists of only the N4378TA optical transmitter, the N4378CA transmitter controller, a PNA/PNA-X, N5292A test set controller and two NA5307A/NA5305A frequency extenders.

Original Keysight lca220 original page 3. Issuer specifications, assumptions and non-GAAP labels remain as shown.

N4378A Components

Model	Function	Description
N4378RA Optical Receiver 	The optical receiver includes a high-bandwidth photodiode that is calibrated at two wavelengths. It includes an average optical power meter that can be read out through an LED bar and numerically via the LCA software.	De-embedding data for up to two wavelengths is available: • N4378RA-131 1310 nm • N4378RA-155 1550 nm
N4378TA Optical Transmitter 	The optical transmitter is based on a high-bandwidth optical modulator with an operating wavelength range covering O-band and C/L-band. The optical input is monitored by an average power meter that can be read out through an LED bar and via the LCA software.	De-embedding data for up to two wavelengths is available: • N4378TA-131 1310 nm • N4378TA-155 1550 nm
N4378CA Transmitter Controller 	The transmitter controller provides power and control to the N4378TA optical transmitter. In addition, it hosts two DFB lasers to provide a high-power, stable optical signal to the optical modulator inside the N4378TA.	The built-in DFB lasers can be activated using licenses: • N4378CA-131 1310 nm • N4378CA-155 1550 nm
N4378FA Mechanical Fixture 	The fixture consists of a sliding base plate and a height-adjustable, fixed base plate, both carrying quick-release mounting plates for optical and electrical heads. Use an additional base plate for mounting on probers.	The mechanical fixture includes two mounting plates. Add more mounting plates and base plates: • N4378FA-801 Additional mounting plate • N4378FA-802 Additional base plate
N4378GA Alignment Gauge 	The alignment gauge is used to align an optical or electrical head on the mounting plate so that the 0.5 mm coaxial connector is located at the predefined position. For the adjustment, the alignment pin is screwed onto the RF port of the head.	The gauge comes with an alignment pin that is parked inside the gauge. Add more: • N4378GA-801 Additional alignment gauge • N4378GA-802 Additional alignment pin for 0.5 mm coaxial connector

Original Keysight lca220 original page 4. Issuer specifications, assumptions and non-GAAP labels remain as shown.

Its electrical extenders can reach 250 GHz. That is a different specification from the analyzer's 220 GHz optical bandwidth. The 0.5 mm coaxial interface and calibration kit are not decorative accessories: at these frequencies, connection repeatability and calibration define whether a measured improvement belongs to the device or to the setup. The technical overview labels the optical specifications preliminary, which limits claims about mature mass-production qualification.

N4378TA 220 GHz Optical Transmitter and N4378CA Transmitter Controller

The N4378TA optical transmitter has a laser input and an optical output, both equipped with polarization maintaining single-mode fiber. Its 0.5 mm coaxial RF input must be connected to an NA5307A or NA5305A frequency extender via the included Y1920K adapter. The N4378TA is powered and controlled by the N4378CA transmitter controller, a half-19-inch, one-height-unit instrument that also hosts two high-power DFB lasers operating at 1310 nm and 1550 nm. Connected to the optical transmitter input via Polarization Maintaining Fiber (PMF), these lasers provide a highly stable Continuous Wave (CW) signal to the optical modulator inside the N4378TA. The N4378TA optical transmitter has a frequency range of 100 MHz to 220 GHz. It can be ordered with de-embedding data for wavelengths 1310 nm and 1550 nm. The two lasers in the N4378CA transmitter controller are always included and can be individually activated via a license code. Using additional laser sources, the N4378TA can be operated at more wavelengths in the O-band and in the C/L-band.

Like the optical receiver, the N4378TA is equipped with an LED chain that indicates the input power level, and warns about overloading the optical input, an indispensable tool to avoid costly damage and to warn of degraded or forgotten fiber connections.



Figure 2. Frequency extender (left) and N4378TA optical transmitter (right) on mechanical fixture



Figure 3. Transmitter controller with two built-in DFB lasers

Original Keysight lca220 original page 6. Issuer specifications, assumptions and non-GAAP labels remain as shown.

NA5307A 250 GHz and NA5305A 170 GHz Frequency Extenders

The N522xB PNA/N524xB PNA-X network analyzer with the N5292A test set controller and the NA5305A/NA5307A 170 GHz/250 GHz frequency extenders provide fully calibrated broadband, single-sweep S-parameter measurements from 100 kHz/10 MHz to 170/250 GHz. The NA5305/7A frequency extenders equipped with a ruggedized 0.5 mm coaxial male test port connector are designed compact and lightweight and driven and controlled with a PNA/PNA-X network analyzer and a P9500A frequency extender hub via USB. The 85065A 0.5 mm coaxial precision calibration kit includes 16 calibration standards to accurately calibrate the VNA measurement setup up to 250 GHz. You can configure a 4-port VNA to make differential measurements for characterization/modeling of semiconductor devices up to 250 GHz for various applications: 6G research and data center networks for 1.6 Tb/s, 3.2 Tb/s and beyond. Passive devices, PCBs, cables, packages, optical RF drivers and TIAs (Transimpedance Amplifiers) can also be measured.

For details on the new NA5307A, NA5305A frequency extenders, as well as supported PNA/PNA-X configurations, please see the Technical Overview.



Figure 7. 250 GHz VNA system with four frequency extenders and P9500A hub

Original Keysight lca220 original page 9. Issuer specifications, assumptions and non-GAAP labels remain as shown.

Technical Specifications (Preliminary)

Description	N4378RA Optical Receiver	N4378TA Optical Transmitter
Operating frequency range	100 MHz to 220 GHz	100 MHz to 220 GHz
Calibrated frequency range [1]	100 MHz to 220 GHz	100 MHz to 220 GHz
De-embedding wavelengths	1310 nm (Option 131), 1550 nm (Option 155)	1310 nm (Option 131), 1550 nm (Option 155)
Optical ports	**N4378RA**	**N4378TA**
Max. operating input power	+13 dBm optical	+20 dBm optical
Max. safe input power	+18 dBm optical, when exposed for max. 1 minute	+23 dBm optical, when exposed for max. 1 minute
Optical output power	n/a	≥ 0 dBm, when using the N4378CA laser
Absolute average power measurement uncertainty	Typical ≤ ± 0.5 dB	n/a
Optical ports	Single-mode fiber input, angled contact	PM fiber [2] input and output, angled contact
Optical connectivity	Accepts 81000xl connector interfaces, one 81000NI (FC/APC) included	Accepts 81000xl connector interfaces, two 81000NI (FC/APC) included
Electrical ports	**N4378RA**	**N4378TA**
Max. RF input power	No RF signal; > 0 dBm will damage the device!	+21 dBm RF, 0 V DC
RF ports	0.5 mm coaxial output, male, ruggedized	0.5 mm coaxial input, male, ruggedized

1. De-embedding data are provided across the entire operating frequency range.
2. Panda type polarization maintaining fiber; electrical field is oriented in slow axis, in line with the connector key.

Original Keysight lca220 original page 11. Issuer specifications, assumptions and non-GAAP labels remain as shown.

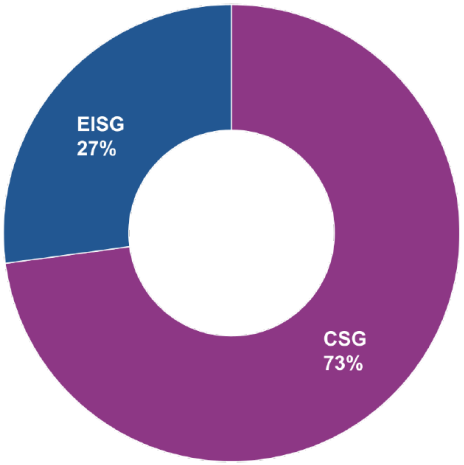
Business scope and the acquisition boundary

The July quarter reported $1.846 billion of sales. Commercial communications supplied $1.006 billion, aerospace/defense/government $339 million and EISG $501 million. Within commercial communications, management said wireline had just overtaken wireless. The model allocates $550 million to wireline and $456 million to wireless for calibration; these subsegment figures are assumptions. It divides EISG into semiconductor/photonics, general electronics and automotive/energy, also as modeling allocations.

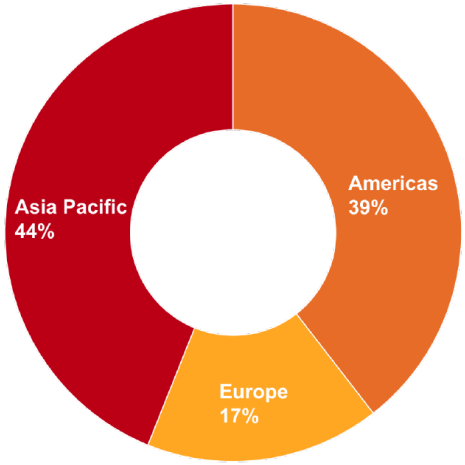
Revenue by Segment & by Region

Q3'26 Revenue: $1.846B

By Segment



By Region



KEYSIGHT 6

Original Keysight q3 deck page 6. Issuer specifications, assumptions and non-GAAP labels remain as shown.

Communications growth is broader than datacenter optics. Wireless includes NTN, 6G research and RF refresh. Defense needs radar, electromagnetic-spectrum and satellite validation. EISG addresses semiconductor device characterization, high-performance PCBs and other electronics. Software/services were about 33% of July sales, with recurring revenue about 24% of total. Those are overlapping attributes of the segment revenue, not two additional revenue pools.

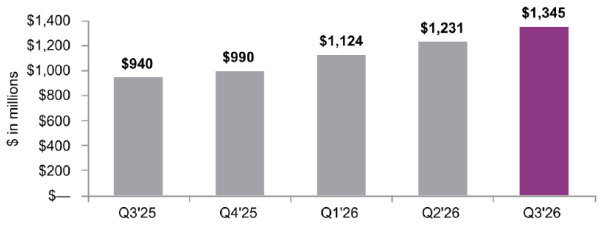
Q3'26 Communications Solutions Group Highlights

Revenue
$1,345M
+43% y/y (+36% core[1])

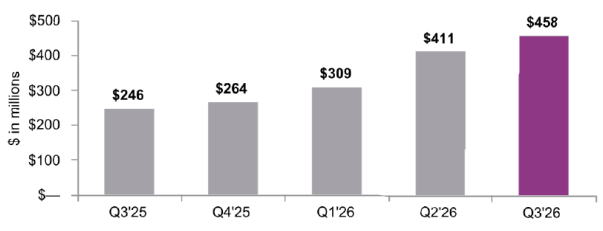
Operating Margin
34.0%
+790 basis points y/y

- Gross margin of 70.8%
- **Commercial Communications:** Record revenue driven by the rapid scaling of the AI infrastructure ecosystem and investment in next-generation connectivity.
- **Aerospace, Defense & Government:** Revenue growth driven by advanced radar architectures, autonomous platforms and position, navigation and timing (PNT) solutions.

CSG Revenue



CSG Income from Operations



KEYSIGHT

[1] Core excludes the impact of currency, acquisitions or divestitures closed in last twelve months; reconciliations included. Segment revenue and income from operations are consistent with the non-GAAP financial measures as defined in the "Non-GAAP Financial Measures" slide.

8

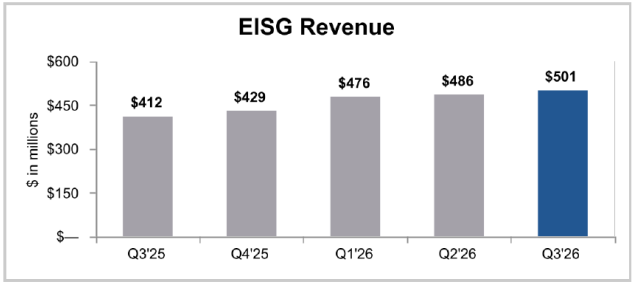
Original Keysight q3 deck page 8. Issuer specifications, assumptions and non-GAAP labels remain as shown.

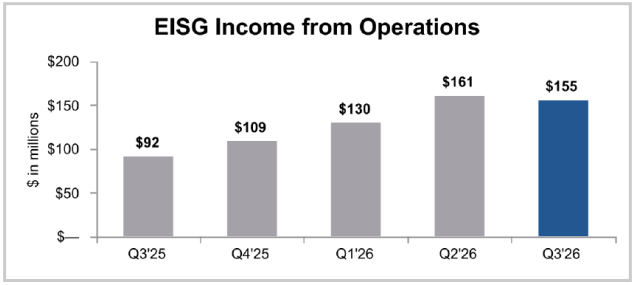
Q3’26 Electronic Industrial Solutions Group Highlights

Revenue
$501M
+21% y/y (+18% core[1])

Operating Margin
31.0%
+870 basis points y/y

- **General Electronics:** Growth led by AI-related innovation and infrastructure investments in multi-layer PCBs and capacitors, supporting next-gen compute.
- **Semiconductor:** Growth fueled by ongoing capacity expansion for advanced nodes, HBM and silicon photonics.
- **Automotive & Energy:** Growth driven by solutions for software-defined vehicle architectures, cybersecurity test, and energy and charging solutions.





KEYSIGHT

[1] Core excludes the impact of currency, acquisitions or divestitures closed in last twelve months; reconciliations included. Segment revenue and income from operations are consistent with the non-GAAP financial measures as defined in the "Non-GAAP Financial Measures" slide.

9

Original Keysight q3 deck page 9. Issuer specifications, assumptions and non-GAAP labels remain as shown.

Spirent requires particular care. Keysight completed the acquisition in October 2025, but the high-speed Ethernet, network security and channel-emulation businesses were transferred to VIAVI. VIAVI's October 16 closing release reports $425 million cash consideration before adjustments. Keysight retains relevant positioning/navigation and other solutions, but the model does not assign all former Spirent networking sales or technology to KEYS. Keysight's own optical and electrical validation products remain a separate basis for the thesis.

The acquired Synopsys optical-design and Ansys PowerArtist assets also contribute design workflows. Integration can connect simulation with physical validation, improve customer retention and spread research expense. It does not make every acquired dollar incremental to the existing forecast. The July quarter included $84 million acquired revenue, including $61 million Spirent and $23 million EDA, within reported sales.

What changed in the last two management discussions

The full May and August management discussions support both growing demand and a production constraint. May orders reached $2.051 billion; July orders reached $2.091 billion. Management described strong wireline, semiconductor and defense activity. The May Q&A sized first-half AI-related business at approximately $500-600 million, near the prior full-year level. That number is not the whole wireline segment or an additional revenue vector.

By August, internal production constraints had improved, while incoming components remained a governor of shipments over the next several quarters. Management described longer supply planning, product redesign for second sources and supplier agreements. None of those actions instantly converts nominal capacity into qualified, calibrated systems accepted by customers.

The September 11 discussion adds a useful limit. Management described a roughly six-month usual order horizon and up to approximately $100 million of shipments slipping beyond the normal window. Some orders involve deferred software or longer projects. The model therefore takes only 80% as plausibly deliverable physical revenue and removes another 50% already embedded in the growing reference. That leaves a $40 million

conditional increment, split between Q1 and Q2 2027 at 70% probability. It is not repeated each year as a new demand shock.

The wireline mix has shifted from approximately 80% R&D/20% manufacturing toward two-thirds/one-third. Manufacturing demand can rise as transceivers enter volume, but production-line purchases are episodic. Faster automated testing and better utilization can also reduce required instruments per shipped module. The model captures greater test intensity once, rather than separately stacking 800G, 1.6T, 3.2T, CPO and each interconnect standard as independent markets.

Profit must survive all the expenses

July GAAP gross profit was $1.216 billion and operating profit $461 million. Non-GAAP operating profit was $613 million. The $152 million difference included $72 million of acquisition-related amortization/balances, $47 million SBC, $30 million acquisition and integration expense and $3 million restructuring/other costs. The model retains those types of economic expense. It does not apply 20x to management's adjusted result while describing the basis as fully expensed profit.

OPERATING MARGIN RECONCILIATION
(In millions, except percentages)
(Unaudited)
PRELIMINARY

	Three months ended July 31,		Nine months ended July 31,	
	2026	2025	2026	2025
Income from operations, as reported	**$ 461**	**$ 234**	**$ 1,116**	**$ 659**
Amortization of acquisition-related balances	72	33	218	100
Share-based compensation	47	32	182	131
Acquisition and integration costs	30	31	89	98
Restructuring and others	3	8	19	32
Non-GAAP income from operations	**$ 613**	**$ 338**	**$ 1,624**	**$ 1,020**
GAAP operating margin, %	**24.9%**	**17.3%**	**21.6%**	**16.7%**
Non-GAAP operating margin, %	**33.2%**	**25.0%**	**31.5%**	**25.8%**

KEYSIGHT Please refer to the last slide for details on the use of non-GAAP financial measures. 17

Original Keysight q3 deck page 17. Issuer specifications, assumptions and non-GAAP labels remain as shown.

May's tariff refund is another normalization issue. The reported benefit reduced costs/expenses by $97 million, but refunds of customer surcharges also reduced revenue by about $40 million. The net operating benefit was about $57 million, subject to the issuer's rounding. It would be wrong to remove only the revenue reduction or to call all $97 million recurring profit. No further exceptional tariff refund is projected.

IEEPA TARIFF REFUND CLAIMS

(In millions, except where noted)
(Unaudited)
PRELIMINARY

	Three months ended April 30, 2026		
Keysight Technologies, Inc.[a]	**Operating Results**	**IEEPA tariff refund claims [b]**	**Reported**
Revenue	$ 1,758	$ (40)	$ 1,717
YoY	*35%*	*(3)%*	*31%*
Costs & expenses	$ 1,242	$ (97)	$ 1,145
Gross margin, %	67.6%	4.7%	72.3%
Operating margin, %	29.3%	4.0%	33.3%
EPS	$ 2.58	$ 0.29	$ 2.87
YoY	*52%*	*17%*	*69%*
Communications Solutions Group			
Revenue	$ 1,265	$ (34)	$ 1,231
YoY	*39%*	*(4%)*	*35%*
Costs & expenses	$ 892	$ (72)	$ 819
Gross margin, %	69.3%	4.8%	74.1%
Operating margin, %	29.5%	3.9%	33.4%
Revenue by end markets (within CSG)			
Aerospace, Defense and Government	$ 389	$ (15)	$ 373
YoY	*29%*	*(5%)*	*24%*
Commercial Communications	$ 876	$ (19)	$ 858
YoY	*43%*	*(3%)*	*40%*
Electronic Industrial Solutions Group			
Revenue	$ 493	$ (6)	$ 486
YoY	*25%*	*(2%)*	*24%*
Costs & expenses	$ 350	$ (25)	$ 325
Gross margin, %	63.3%	4.5%	67.8%
Operating margin, %	28.9%	4.2%	33.1%

KEYSIGHT [a] Non GAAP measures except revenue, reconciliations provided at investor.keysight.com ; [b] Refer to page 18 for additional details.
Amounts in table above may not total due to rounding. Please refer to the last slide for details on the use of non-GAAP financial measures.
20

Original Keysight q2 deck page 20. Issuer specifications, assumptions and non-GAAP labels remain as shown.

The Q4 fiscal revenue midpoint is $1.940 billion and non-GAAP EPS midpoint $3.37, on roughly 172 million diluted shares. This is guidance for the quarter ending October; it is not calendar Q4 actual earnings. The model uses the reported July quarter and October guidance as anchors, then calendarizes using one-third of the contemporaneous fiscal quarter plus two-thirds of the following fiscal quarter. Monthly sales are assumed uniform within those fiscal quarters. Real acceptance timing can vary.

Guidance and Financial Considerations

	Q4'26 Guidance	Implied FY26
Revenue	**$1.930B – $1.950B**	**$7.103B**
Y/Y growth at the midpoint	***37%***	***32%***
Non-GAAP Earnings per share	**$3.34 – $3.40**	**$11.48**
Y/Y growth at the midpoint	***76%***	***60%***

Q4'26 Financial Assumptions

- Interest Income, Interest Expense and Other Income/Expense: ~$3-5M net income
- Non-GAAP tax rate of 14%
- Guidance assumes Q4 weighted average diluted share count of approximately 172M shares

KEYSIGHT Refer to Safe Harbor on page 2 for risks related to forward-looking statements.
11

Original Keysight q3 deck page 11. Issuer specifications, assumptions and non-GAAP labels remain as shown.

The reference sales and cost construction

The reference builds six product/customer vectors. Fiscal 2027 sales assumptions are $2.700 billion wireline, $2.000 billion wireless, $1.560 billion defense, $1.010 billion semiconductor/photonics, $800 million general electronics and $480 million automotive/energy. Their $8.550 billion total is a model forecast. Calendarization produces $8.751 billion reference calendar 2027 revenue. It already assumes strong organic growth, acquired sales and a capacity response.

The pre-acquisition-amortization/SBC gross-margin calibration starts near 71% for CSG vectors and 65% for EISG, then increases by 25 basis points annually, capped at 72%/66%. Acquired amortization and production SBC are deducted from those product profits. Future acquisition amortization follows the SEC schedule: $236 million in fiscal 2027, $233 million in 2028, $224 million in 2029 and $144 million in 2030. Seventy percent is allocated to cost of sales and 30% to operating expense, a modeling allocation calibrated to the July reconciliation. The total is expensed once.

Core quarterly operating costs start near $680 million for fiscal Q4 and grow about 8% annually. A $50 million annual synergy step is included from fiscal 2027. Management's $100 million target is an exit run-rate target: $40 million was expected realized in fiscal 2026, and 80-90% of the run rate was expected by year-end. Adding another full $100 million to the reference would count the same savings again. Cash costs include ordinary depreciation; SBC, acquisition amortization, integration and a continuing restructuring allowance are separately retained.

The resulting active calendar model produces revenue/OP of $8.816 billion/$2.717 billion in 2027, $10.114 billion/$3.402 billion in 2028, $11.341 billion/$4.026 billion in 2029 and $12.521 billion/$4.647 billion in 2030. These later margins require substantial operating leverage and stable product differentiation. They are not management guidance or evidence that the current 66% incremental core margin persists indefinitely.

Probability-weighted engineering evidence

The test-intensity branch has a 55% probability. Its 2027 conditional increment is 2,000 equivalent systems/software invoices at $100,000 each, with 20% removed for overlap: $160 million revenue. The $100,000 is a modeling unit, not a quoted N4378A price. The branch rises to $300 million/$440 million/$550 million in 2028-30. At 65% gross margin and 22% incremental applications, R&D and service cost, 2027 weighted OP is $37.84 million. Source evidence supports increased need; the units, price and cost retention remain bounded assumptions.

Pricing has a separate 60% probability. The selected conditional premium is 3%, within a 2-4% range, on 20% of new or repriceable reference invoices. Forty percent overlaps the reference pricing/mix, leaving 0.36% of reference revenue in 2027-28, fading later. Eighty percent survives incremental production and service cost. Fixed-price backlog is excluded, and no premium is applied to the additional test-intensity or delayed-delivery units. Customers may pay for faster qualification when a relatively small instrument cost delays a much larger infrastructure investment.

A 45% probability of unrecovered component expense deducts 0.25% of reference sales in 2027-28: 20% exposed purchased content times 5% extra cost times 25% residual after modeled pass-through and overlap. This fades as alternative sources qualify. It is not a second price benefit. A 30% cycle/execution branch loses 6% of wireline and semiconductor/photonics revenue, with a 45% decremental OP margin after limited variable-cost relief. All five branches are included in active calculations, including negative outcomes.

Funding and the common-share claim

July unrestricted cash was $2.605 billion. The $2.622 billion cash-flow cash total includes $17 million restricted cash and is not the usable balance. Debt face principal is $2.550 billion, compared with $2.517 billion carrying value after accounting adjustments. Scheduled principal includes $700 million due in 2027, $500 million in 2029, $750 million in 2030 and $600 million in 2034. The $750 million undrawn revolver is additional liquidity, not booked cash.

The valuation deducts $521 million: $2.550 billion debt plus $76 million pension/post-retirement claims plus a $500 million operating cash reserve, less $2.605 billion opening cash. Operating leases remain in expenses rather than being capitalized again. The claims floor stays fixed; future generated cash and buybacks receive no additional asset credit. Debt repayment uses cash, so repayment itself does not create a second net-debt improvement.

The SEC cover gives 170.244745 million common shares on August 27. The model begins at 172.3 million diluted economic shares and adds 0.15 million each quarter. The opening difference approximates outstanding awards and the guided diluted denominator. No future share repurchase is assumed; SBC remains expensed even as share dilution is modeled.

Funding checks all 32 combinations of the five operating events. It uses 20% cash tax on positive earnings after interest, 3% sales capex plus a near-term catch-up reserve, 15% incremental-revenue working capital, award withholding, and repayment of the 2027/2029/2030 notes without refinancing. Debt is conservatively paid in the first modeled quarter of each maturity year; exact within-year settlement is not material to solvency here. July opening cash contributes only two months of modeled calendar Q3 cash generation. The minimum cash across these paths is about $2.911 billion, above the $500 million operating reserve. All modeled common values remain positive, so the linear probability-weighted valuation equals weighting individual equity values; no floor is hidden.

Competition, duration and what would change the model

Keysight competes across products with Anritsu, Rohde & Schwarz, Tektronix, VIAVI and customers' internal solutions. Calibration history, software workflows and installed instruments can create switching costs, but high bandwidth alone is not proof of a sole-source position. More reusable software, parallel test and customer self-validation may let the same installed tool base support more output. Those are direct counterweights to a simplistic instruments-per-bit forecast.

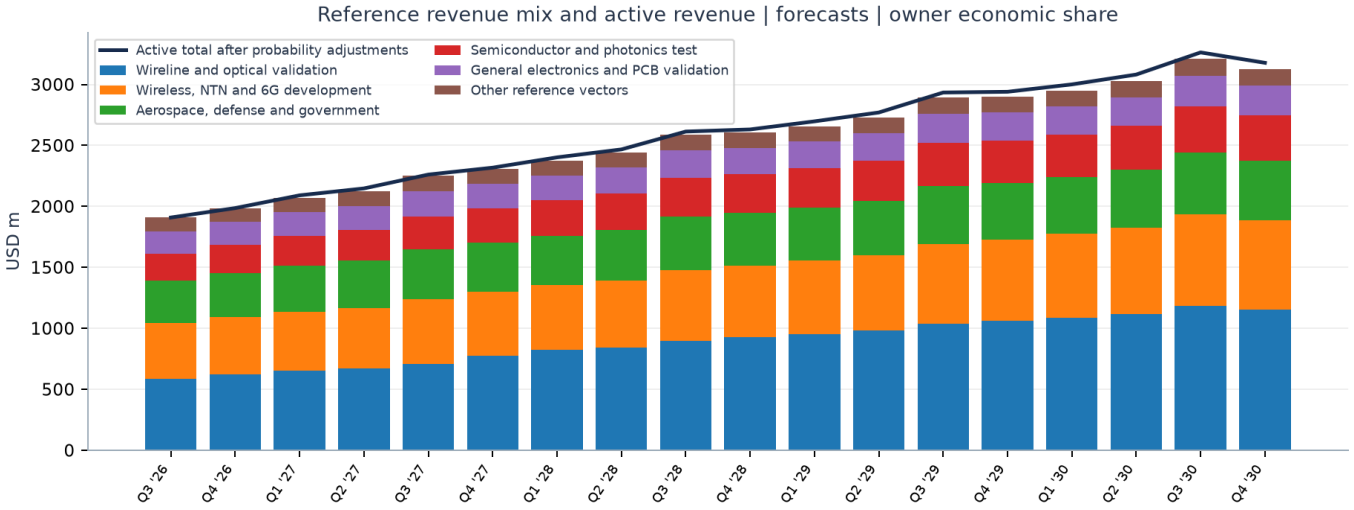
The most useful near-term evidence is conversion of orders to accepted shipments, delivered margins after component costs, manufacturing-test mix and the order value of 224G/1.6T deployments. Q4 results will test the October guide and supplier response. Specific new or repriced orders can change the probability or retained-price assumptions before an entire annual earnings cycle is reported. Longer-term, the 3.2T and 6G transitions may extend the engineering workload, but the timing depends on customer qualification and standards.

The model would need to fall if the apparent constrained demand is a temporary ordering surge, if customers solve throughput through existing equipment, or if acquired businesses fail to deliver the cost and retention benefits. It would rise with verified invoice content, durable premiums on qualified tools, stronger accepted volume and expense discipline. The analytical Base rewards engineering relevance while retaining those commercial and accounting limits.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	Precision calibration, simulation and conformance matter at higher speeds; competitor limits remain.
Cycle	8	Demand visible through several quarters, with manufacturing order cyclicality.
TAM	8	Revenue vectors address customer test spending, not aggregate AI capex.
Catalysts	4	Q4 execution, parts availability and optical production qualification.
Macro	8	AI and defense supportive; export and capital-budget risks.
Alpha	3	Engineering/product scope and fully expensed accounting distinguish the case.
Risk classes	-4	Supply, integration, concentration and margin-execution risks.
Total	44/60	Rounded Base 73. Both artifact and new workbook row use this score; this is not a manual override.

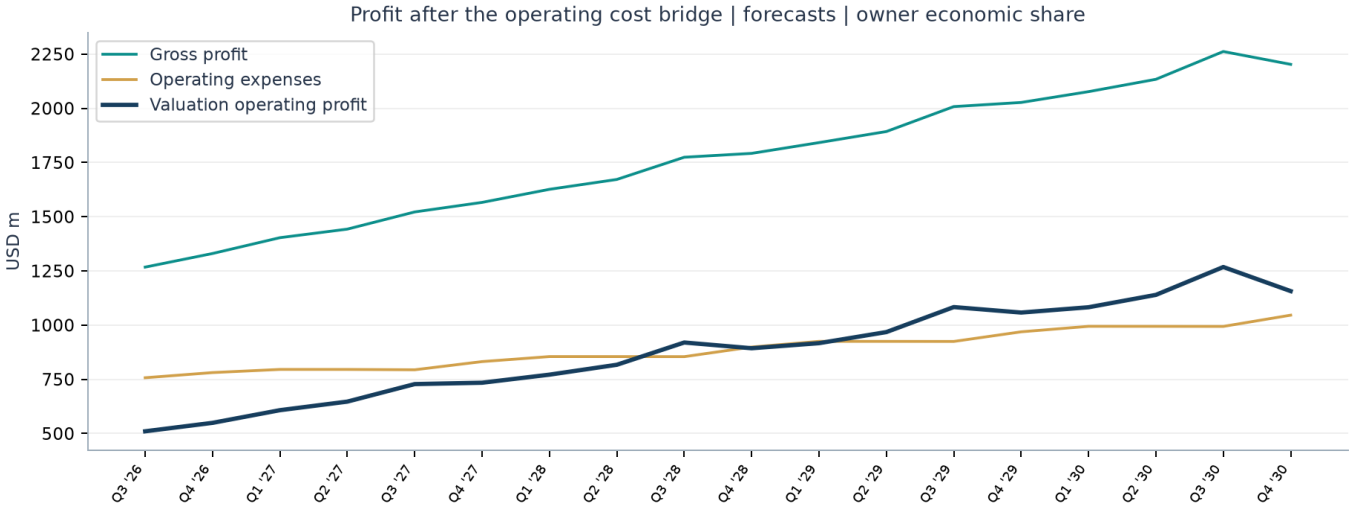
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	1,908.7	0.0	1,908.7
Q4 2026	1,986.2	0.0	1,986.2
Q1 2027	2,066.2	24.3	2,090.6
Q2 2027	2,123.2	24.0	2,147.3
Q3 2027	2,251.5	9.3	2,260.8
Q4 2027	2,309.5	8.0	2,317.5
Q1 2028	2,375.6	26.4	2,402.0
Q2 2028	2,441.1	26.0	2,467.1
Q3 2028	2,588.6	25.0	2,613.6
Q4 2028	2,606.5	24.5	2,631.0
Q1 2029	2,655.9	41.3	2,697.2
Q2 2029	2,729.2	40.8	2,770.0
Q3 2029	2,894.0	39.6	2,933.6
Q4 2029	2,900.4	39.4	2,939.8
Q1 2030	2,948.3	51.9	3,000.2
Q2 2030	3,029.7	51.3	3,080.9
Q3 2030	3,212.7	49.8	3,262.4
Q4 2030	3,126.8	50.5	3,177.3

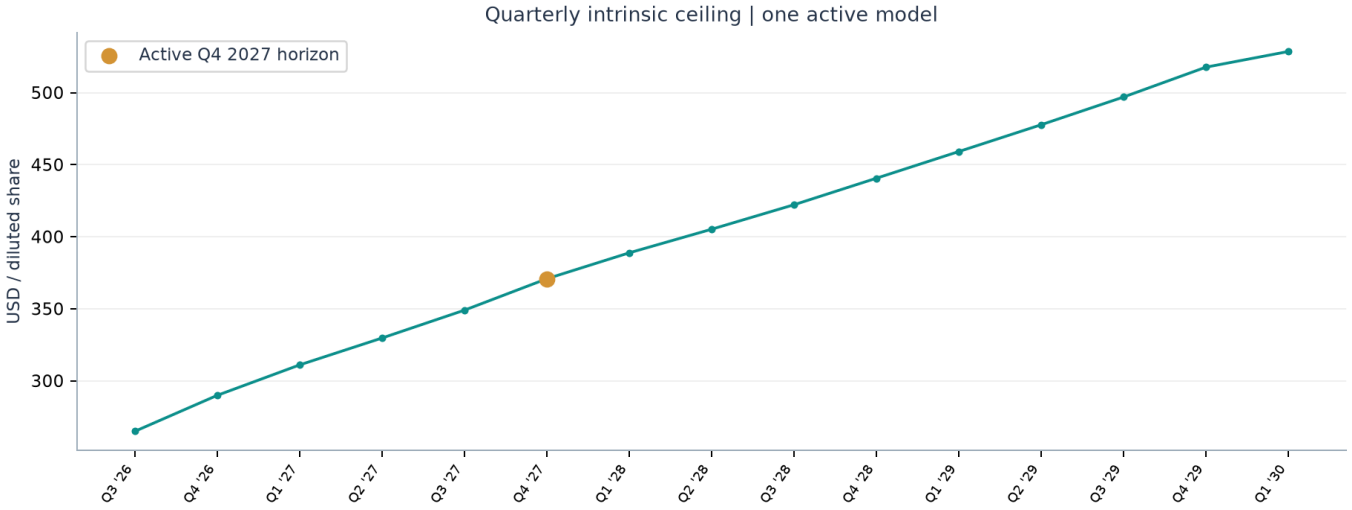
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	1,908.7	1,267.5	757.3	510.3	26.7%
Q4 2026	1,986.2	1,330.3	781.1	549.2	27.7%
Q1 2027	2,090.6	1,403.3	795.7	607.7	29.1%
Q2 2027	2,147.3	1,442.8	795.6	647.2	30.1%
Q3 2027	2,260.8	1,522.0	794.0	728.0	32.2%
Q4 2027	2,317.5	1,566.0	831.8	734.3	31.7%
Q1 2028	2,402.0	1,626.4	854.9	771.5	32.1%
Q2 2028	2,467.1	1,671.9	854.8	817.1	33.1%
Q3 2028	2,613.6	1,774.3	854.5	919.8	35.2%
Q4 2028	2,631.0	1,792.2	898.8	893.3	34.0%
Q1 2029	2,697.2	1,841.8	925.1	916.7	34.0%
Q2 2029	2,770.0	1,892.9	925.0	968.0	34.9%
Q3 2029	2,933.6	2,007.9	924.7	1,083.2	36.9%
Q4 2029	2,939.8	2,027.0	969.1	1,057.9	36.0%
Q1 2030	3,000.2	2,076.9	994.5	1,082.4	36.1%
Q2 2030	3,080.9	2,133.8	994.3	1,139.5	37.0%
Q3 2030	3,262.4	2,262.0	994.0	1,268.0	38.9%
Q4 2030	3,177.3	2,202.7	1,045.9	1,156.8	36.4%

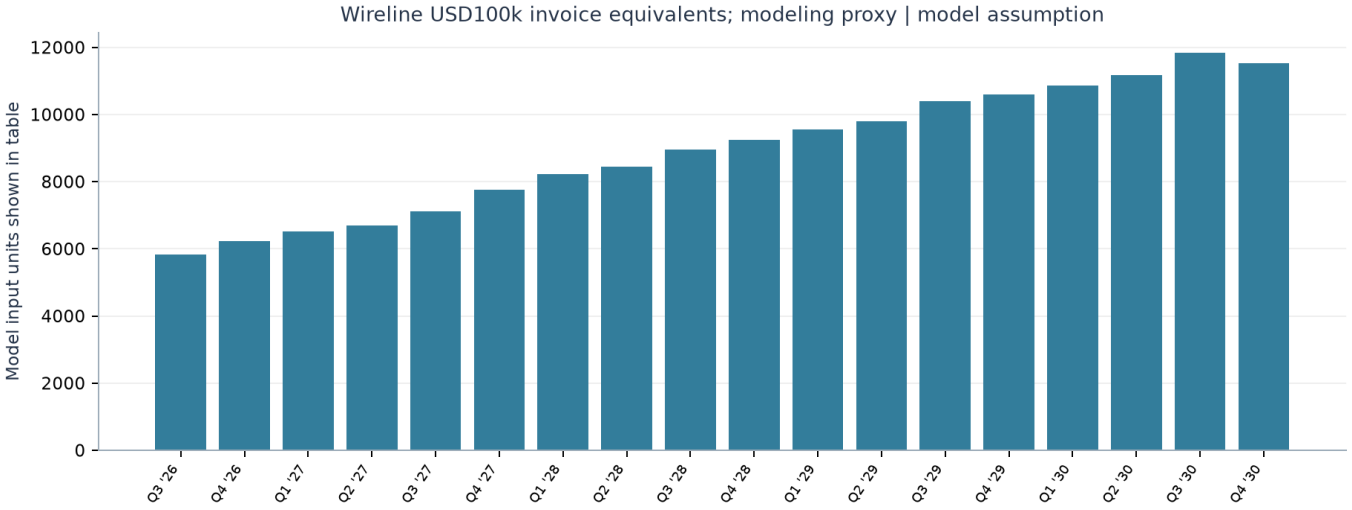
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	2,314.4	20x	172.750	264.93
Q4 2026	Q4 2026 to Q3 2027	2,532.1	20x	172.900	289.88
Q1 2027	Q1 2027 to Q4 2027	2,717.1	20x	173.050	311.02
Q2 2027	Q2 2027 to Q1 2028	2,881.0	20x	173.200	329.67
Q3 2027	Q3 2027 to Q2 2028	3,050.9	20x	173.350	348.99
Q4 2027	Q4 2027 to Q3 2028	3,242.7	20x	173.500	370.80
Q1 2028	Q1 2028 to Q4 2028	3,401.8	20x	173.650	388.80
Q2 2028	Q2 2028 to Q1 2029	3,547.0	20x	173.800	405.17
Q3 2028	Q3 2028 to Q2 2029	3,697.8	20x	173.950	422.16
Q4 2028	Q4 2028 to Q3 2029	3,861.2	20x	174.100	440.57
Q1 2029	Q1 2029 to Q4 2029	4,025.8	20x	174.250	459.08
Q2 2029	Q2 2029 to Q1 2030	4,191.5	20x	174.400	477.69
Q3 2029	Q3 2029 to Q2 2030	4,363.1	20x	174.550	496.94
Q4 2029	Q4 2029 to Q3 2030	4,547.8	20x	174.700	517.66
Q1 2030	Q1 2030 to Q4 2030	4,646.7	20x	174.850	528.53

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Wireline USD100k invoice equivalents; modeling proxy	Status
Q3 2026	5,833.333	Calendarized model, not reported quarter; Q plus next three valuation
Q4 2026	6,230.000	Calendarized model, not reported quarter; Q plus next three valuation
Q1 2027	6,525.000	Calendarized model, not reported quarter; Q plus next three valuation
Q2 2027	6,705.000	Calendarized model, not reported quarter; Q plus next three valuation
Q3 2027	7,110.000	Calendarized model, not reported quarter; Q plus next three valuation
Q4 2027	7,756.667	Calendarized model, not reported quarter; Q plus next three valuation
Q1 2028	8,216.667	Calendarized model, not reported quarter; Q plus next three valuation
Q2 2028	8,443.333	Calendarized model, not reported quarter; Q plus next three valuation
Q3 2028	8,953.333	Calendarized model, not reported quarter; Q plus next three valuation
Q4 2028	9,248.333	Calendarized model, not reported quarter; Q plus next three valuation
Q1 2029	9,545.833	Calendarized model, not reported quarter; Q plus next three valuation
Q2 2029	9,809.167	Calendarized model, not reported quarter; Q plus next three valuation

Quarter	Wireline USD100k invoice equivalents; modeling proxy	Status
Q3 2029	10,401.667	Calendarized model, not reported quarter; Q plus next three valuation
Q4 2029	10,605.000	Calendarized model, not reported quarter; Q plus next three valuation
Q1 2030	10,875.000	Calendarized model, not reported quarter; Q plus next three valuation
Q2 2030	11,175.000	Calendarized model, not reported quarter; Q plus next three valuation
Q3 2030	11,850.000	Calendarized model, not reported quarter; Q plus next three valuation
Q4 2030	11,538.667	Calendarized model, not reported quarter; Q plus next three valuation

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Wireline and optical validation	583.3	68.1%	397.3
Q3 2026	Wireless, NTN and 6G development	462.0	68.1%	314.6
Q3 2026	Aerospace, defense and government	346.3	68.1%	235.8
Q3 2026	Semiconductor and photonics test	220.0	61.9%	136.1
Q3 2026	General electronics and PCB validation	183.3	61.9%	113.4
Q3 2026	Automotive and energy test	113.7	61.9%	70.3
Q4 2026	Wireline and optical validation	623.0	68.6%	427.3
Q4 2026	Wireless, NTN and 6G development	468.3	68.6%	321.2
Q4 2026	Aerospace, defense and government	361.1	68.6%	247.7
Q4 2026	Semiconductor and photonics test	233.2	62.6%	146.0
Q4 2026	General electronics and PCB validation	187.0	62.6%	117.0
Q4 2026	Automotive and energy test	113.5	62.6%	71.1
Q1 2027	Wireline and optical validation	652.5	68.8%	449.0
Q1 2027	Wireless, NTN and 6G development	483.3	68.8%	332.6
Q1 2027	Aerospace, defense and government	377.0	68.8%	259.4
Q1 2027	Semiconductor and photonics test	244.1	62.8%	153.3
Q1 2027	General electronics and PCB validation	193.3	62.8%	121.4
Q1 2027	Automotive and energy test	116.0	62.8%	72.9
Q2 2027	Wireline and optical validation	670.5	68.9%	461.8
Q2 2027	Wireless, NTN and 6G development	496.7	68.9%	342.1
Q2 2027	Aerospace, defense and government	387.4	68.9%	266.8
Q2 2027	Semiconductor and photonics test	250.8	62.9%	157.7
Q2 2027	General electronics and PCB validation	198.7	62.9%	124.9
Q2 2027	Automotive and energy test	119.2	62.9%	74.9
Q3 2027	Wireline and optical validation	711.0	69.0%	490.6
Q3 2027	Wireless, NTN and 6G development	526.7	69.0%	363.4
Q3 2027	Aerospace, defense and government	410.8	69.0%	283.5
Q3 2027	Semiconductor and photonics test	266.0	63.0%	167.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2027	General electronics and PCB validation	210.7	63.0%	132.7
Q3 2027	Automotive and energy test	126.4	63.0%	79.6
Q4 2027	Wireline and optical validation	775.7	69.2%	537.0
Q4 2027	Wireless, NTN and 6G development	524.7	69.2%	363.2
Q4 2027	Aerospace, defense and government	403.6	69.2%	279.4
Q4 2027	Semiconductor and photonics test	278.9	63.2%	176.3
Q4 2027	General electronics and PCB validation	205.2	63.2%	129.7
Q4 2027	Automotive and energy test	121.5	63.2%	76.8
Q1 2028	Wireline and optical validation	821.7	69.4%	570.0
Q1 2028	Wireless, NTN and 6G development	531.7	69.4%	368.8
Q1 2028	Aerospace, defense and government	406.0	69.4%	281.6
Q1 2028	Semiconductor and photonics test	290.0	63.4%	183.8
Q1 2028	General electronics and PCB validation	205.4	63.4%	130.2
Q1 2028	Automotive and energy test	120.8	63.4%	76.6
Q2 2028	Wireline and optical validation	844.3	69.4%	586.2
Q2 2028	Wireless, NTN and 6G development	546.3	69.4%	379.3
Q2 2028	Aerospace, defense and government	417.2	69.4%	289.6
Q2 2028	Semiconductor and photonics test	298.0	63.4%	189.0
Q2 2028	General electronics and PCB validation	211.1	63.4%	133.9
Q2 2028	Automotive and energy test	124.2	63.4%	78.8
Q3 2028	Wireline and optical validation	895.3	69.5%	622.6
Q3 2028	Wireless, NTN and 6G development	579.3	69.5%	402.9
Q3 2028	Aerospace, defense and government	442.4	69.5%	307.7
Q3 2028	Semiconductor and photonics test	316.0	63.5%	200.8
Q3 2028	General electronics and PCB validation	223.8	63.5%	142.2
Q3 2028	Automotive and energy test	131.7	63.5%	83.7
Q4 2028	Wireline and optical validation	924.8	69.7%	645.0
Q4 2028	Wireless, NTN and 6G development	586.5	69.7%	409.1
Q4 2028	Aerospace, defense and government	433.2	69.7%	302.1
Q4 2028	Semiconductor and photonics test	317.9	63.7%	202.7
Q4 2028	General electronics and PCB validation	217.5	63.7%	138.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2028	Automotive and energy test	126.5	63.7%	80.6
Q1 2029	Wireline and optical validation	954.6	69.9%	667.0
Q1 2029	Wireless, NTN and 6G development	599.3	69.9%	418.8
Q1 2029	Aerospace, defense and government	435.0	69.9%	303.9
Q1 2029	Semiconductor and photonics test	323.8	63.9%	206.8
Q1 2029	General electronics and PCB validation	217.5	63.9%	138.9
Q1 2029	Automotive and energy test	125.7	63.9%	80.3
Q2 2029	Wireline and optical validation	980.9	69.9%	685.9
Q2 2029	Wireless, NTN and 6G development	615.9	69.9%	430.6
Q2 2029	Aerospace, defense and government	447.0	69.9%	312.5
Q2 2029	Semiconductor and photonics test	332.8	63.9%	212.7
Q2 2029	General electronics and PCB validation	223.5	63.9%	142.9
Q2 2029	Automotive and energy test	129.1	63.9%	82.5
Q3 2029	Wireline and optical validation	1,040.2	70.0%	728.4
Q3 2029	Wireless, NTN and 6G development	653.1	70.0%	457.3
Q3 2029	Aerospace, defense and government	474.0	70.0%	331.9
Q3 2029	Semiconductor and photonics test	352.9	64.0%	225.9
Q3 2029	General electronics and PCB validation	237.0	64.0%	151.7
Q3 2029	Automotive and energy test	136.9	64.0%	87.7
Q4 2029	Wireline and optical validation	1,060.5	70.5%	747.7
Q4 2029	Wireless, NTN and 6G development	669.7	70.5%	472.1
Q4 2029	Aerospace, defense and government	462.8	70.5%	326.2
Q4 2029	Semiconductor and photonics test	346.2	64.5%	223.3
Q4 2029	General electronics and PCB validation	229.8	64.5%	148.2
Q4 2029	Automotive and energy test	131.4	64.5%	84.7
Q1 2030	Wireline and optical validation	1,087.5	70.8%	769.4
Q1 2030	Wireless, NTN and 6G development	688.8	70.8%	487.3
Q1 2030	Aerospace, defense and government	464.0	70.8%	328.3
Q1 2030	Semiconductor and photonics test	348.0	64.8%	225.3
Q1 2030	General electronics and PCB validation	229.6	64.8%	148.7
Q1 2030	Automotive and energy test	130.5	64.8%	84.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	Wireline and optical validation	1,117.5	70.8%	791.0
Q2 2030	Wireless, NTN and 6G development	707.8	70.8%	501.0
Q2 2030	Aerospace, defense and government	476.8	70.8%	337.5
Q2 2030	Semiconductor and photonics test	357.6	64.8%	231.7
Q2 2030	General electronics and PCB validation	235.9	64.8%	152.8
Q2 2030	Automotive and energy test	134.1	64.8%	86.9
Q3 2030	Wireline and optical validation	1,185.0	70.9%	839.6
Q3 2030	Wireless, NTN and 6G development	750.5	70.9%	531.8
Q3 2030	Aerospace, defense and government	505.6	70.9%	358.2
Q3 2030	Semiconductor and photonics test	379.2	64.9%	245.9
Q3 2030	General electronics and PCB validation	250.2	64.9%	162.2
Q3 2030	Automotive and energy test	142.2	64.9%	92.2
Q4 2030	Wireline and optical validation	1,153.9	70.8%	817.5
Q4 2030	Wireless, NTN and 6G development	732.8	70.8%	519.2
Q4 2030	Aerospace, defense and government	490.8	70.8%	347.8
Q4 2030	Semiconductor and photonics test	369.3	64.8%	239.5
Q4 2030	General electronics and PCB validation	242.2	64.8%	157.0
Q4 2030	Automotive and energy test	137.9	64.8%	89.4

Operating-cost derivation

Quarter	R&D cash cost and ordinary depreciation	Selling, service and G&A cash cost with ordinary depreciation	Operating SBC	Operating acquisition amortization	Integration expense	Ordinary restructuring allowance
Q3 2026	289.7	384.0	40.7	19.9	20.0	3.0
Q4 2026	304.4	403.5	43.7	18.1	8.3	3.0
Q1 2027	310.4	411.5	44.8	17.7	5.0	3.0
Q2 2027	310.4	411.5	44.8	17.7	5.0	3.0
Q3 2027	310.4	411.5	44.8	17.7	5.0	3.0
Q4 2027	327.3	433.8	47.2	17.5	1.7	3.0
Q1 2028	335.7	445.0	48.4	17.5	0.0	3.0
Q2 2028	335.7	445.0	48.4	17.5	0.0	3.0
Q3 2028	335.7	445.0	48.4	17.5	0.0	3.0
Q4 2028	353.9	469.1	51.0	17.0	0.0	3.0
Q1 2029	363.0	481.1	52.3	16.8	0.0	3.0
Q2 2029	363.0	481.1	52.3	16.8	0.0	3.0
Q3 2029	363.0	481.1	52.3	16.8	0.0	3.0
Q4 2029	382.6	507.2	55.1	12.8	0.0	3.0
Q1 2030	392.4	520.2	56.5	10.8	0.0	3.0
Q2 2030	392.4	520.2	56.5	10.8	0.0	3.0
Q3 2030	392.4	520.2	56.5	10.8	0.0	3.0
Q4 2030	413.6	548.3	59.5	10.2	0.0	3.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	DELIVERY	70%	0.0	0.0	0.0	0.0
Q3 2026	TEST INTENSITY	55%	0.0	0.0	0.0	0.0
Q3 2026	PRICING	60%	0.0	0.0	0.0	0.0
Q3 2026	COMPONENT COST	45%	0.0	-0.0	0.0	-0.0
Q3 2026	CYCLE EXECUTION	30%	0.0	0.0	0.0	0.0
Q4 2026	DELIVERY	70%	0.0	0.0	0.0	0.0
Q4 2026	TEST INTENSITY	55%	0.0	0.0	0.0	0.0
Q4 2026	PRICING	60%	0.0	0.0	0.0	0.0
Q4 2026	COMPONENT COST	45%	0.0	-0.0	0.0	-0.0
Q4 2026	CYCLE EXECUTION	30%	0.0	0.0	0.0	0.0
Q1 2027	DELIVERY	70%	20.0	13.6	2.0	8.1
Q1 2027	TEST INTENSITY	55%	40.0	26.0	8.8	9.5
Q1 2027	PRICING	60%	7.4	6.3	0.4	3.6
Q1 2027	COMPONENT COST	45%	0.0	-5.2	0.0	-2.3
Q1 2027	CYCLE EXECUTION	30%	-53.8	-35.0	-10.8	-7.3
Q2 2027	DELIVERY	70%	20.0	13.6	2.0	8.1
Q2 2027	TEST INTENSITY	55%	40.0	26.0	8.8	9.5
Q2 2027	PRICING	60%	7.6	6.5	0.4	3.7
Q2 2027	COMPONENT COST	45%	0.0	-5.3	0.0	-2.4
Q2 2027	CYCLE EXECUTION	30%	-55.3	-35.9	-11.1	-7.5
Q3 2027	DELIVERY	70%	0.0	0.0	0.0	0.0
Q3 2027	TEST INTENSITY	55%	40.0	26.0	8.8	9.5
Q3 2027	PRICING	60%	8.1	6.9	0.4	3.9
Q3 2027	COMPONENT COST	45%	0.0	-5.6	0.0	-2.5
Q3 2027	CYCLE EXECUTION	30%	-58.6	-38.1	-11.7	-7.9
Q4 2027	DELIVERY	70%	0.0	0.0	0.0	0.0
Q4 2027	TEST INTENSITY	55%	40.0	26.0	8.8	9.5
Q4 2027	PRICING	60%	8.3	7.1	0.4	4.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2027	COMPONENT COST	45%	0.0	-5.8	0.0	-2.6
Q4 2027	CYCLE EXECUTION	30%	-63.3	-41.1	-12.7	-8.5
Q1 2028	DELIVERY	70%	0.0	0.0	0.0	0.0
Q1 2028	TEST INTENSITY	55%	75.0	48.8	16.5	17.7
Q1 2028	PRICING	60%	8.6	7.3	0.4	4.1
Q1 2028	COMPONENT COST	45%	0.0	-5.9	0.0	-2.7
Q1 2028	CYCLE EXECUTION	30%	-66.7	-43.4	-13.3	-9.0
Q2 2028	DELIVERY	70%	0.0	0.0	0.0	0.0
Q2 2028	TEST INTENSITY	55%	75.0	48.8	16.5	17.7
Q2 2028	PRICING	60%	8.8	7.5	0.4	4.2
Q2 2028	COMPONENT COST	45%	0.0	-6.1	0.0	-2.7
Q2 2028	CYCLE EXECUTION	30%	-68.5	-44.6	-13.7	-9.3
Q3 2028	DELIVERY	70%	0.0	0.0	0.0	0.0
Q3 2028	TEST INTENSITY	55%	75.0	48.8	16.5	17.7
Q3 2028	PRICING	60%	9.3	7.9	0.5	4.5
Q3 2028	COMPONENT COST	45%	0.0	-6.5	0.0	-2.9
Q3 2028	CYCLE EXECUTION	30%	-72.7	-47.2	-14.5	-9.8
Q4 2028	DELIVERY	70%	0.0	0.0	0.0	0.0
Q4 2028	TEST INTENSITY	55%	75.0	48.8	16.5	17.7
Q4 2028	PRICING	60%	9.4	8.0	0.5	4.5
Q4 2028	COMPONENT COST	45%	0.0	-6.5	0.0	-2.9
Q4 2028	CYCLE EXECUTION	30%	-74.6	-48.5	-14.9	-10.1
Q1 2029	DELIVERY	70%	0.0	0.0	0.0	0.0
Q1 2029	TEST INTENSITY	55%	110.0	71.5	24.2	26.0
Q1 2029	PRICING	60%	6.4	5.4	0.3	3.1
Q1 2029	COMPONENT COST	45%	0.0	-3.3	0.0	-1.5
Q1 2029	CYCLE EXECUTION	30%	-76.7	-49.9	-15.3	-10.4
Q2 2029	DELIVERY	70%	0.0	0.0	0.0	0.0
Q2 2029	TEST INTENSITY	55%	110.0	71.5	24.2	26.0
Q2 2029	PRICING	60%	6.6	5.6	0.3	3.1
Q2 2029	COMPONENT COST	45%	0.0	-3.4	0.0	-1.5

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2029	CYCLE EXECUTION	30%	-78.8	-51.2	-15.8	-10.6
Q3 2029	DELIVERY	70%	0.0	0.0	0.0	0.0
Q3 2029	TEST INTENSITY	55%	110.0	71.5	24.2	26.0
Q3 2029	PRICING	60%	6.9	5.9	0.3	3.3
Q3 2029	COMPONENT COST	45%	0.0	-3.6	0.0	-1.6
Q3 2029	CYCLE EXECUTION	30%	-83.6	-54.3	-16.7	-11.3
Q4 2029	DELIVERY	70%	0.0	0.0	0.0	0.0
Q4 2029	TEST INTENSITY	55%	110.0	71.5	24.2	26.0
Q4 2029	PRICING	60%	7.0	5.9	0.3	3.3
Q4 2029	COMPONENT COST	45%	0.0	-3.6	0.0	-1.6
Q4 2029	CYCLE EXECUTION	30%	-84.4	-54.9	-16.9	-11.4
Q1 2030	DELIVERY	70%	0.0	0.0	0.0	0.0
Q1 2030	TEST INTENSITY	55%	137.5	89.4	30.2	32.5
Q1 2030	PRICING	60%	3.5	3.0	0.2	1.7
Q1 2030	COMPONENT COST	45%	0.0	-1.8	0.0	-0.8
Q1 2030	CYCLE EXECUTION	30%	-86.1	-56.0	-17.2	-11.6
Q2 2030	DELIVERY	70%	0.0	0.0	0.0	0.0
Q2 2030	TEST INTENSITY	55%	137.5	89.4	30.2	32.5
Q2 2030	PRICING	60%	3.6	3.1	0.2	1.7
Q2 2030	COMPONENT COST	45%	0.0	-1.9	0.0	-0.9
Q2 2030	CYCLE EXECUTION	30%	-88.5	-57.5	-17.7	-11.9
Q3 2030	DELIVERY	70%	0.0	0.0	0.0	0.0
Q3 2030	TEST INTENSITY	55%	137.5	89.4	30.2	32.5
Q3 2030	PRICING	60%	3.9	3.3	0.2	1.9
Q3 2030	COMPONENT COST	45%	0.0	-2.0	0.0	-0.9
Q3 2030	CYCLE EXECUTION	30%	-93.9	-61.0	-18.8	-12.7
Q4 2030	DELIVERY	70%	0.0	0.0	0.0	0.0
Q4 2030	TEST INTENSITY	55%	137.5	89.4	30.2	32.5
Q4 2030	PRICING	60%	3.8	3.2	0.2	1.8
Q4 2030	COMPONENT COST	45%	0.0	-2.0	0.0	-0.9
Q4 2030	CYCLE EXECUTION	30%	-91.4	-59.4	-18.3	-12.3

Enterprise-to-equity reconciliation

20x forward-four-quarter fully expensed GAAP operating profit, less USD521m net financial and pension claims after an operating cash reserve, divided by end-window diluted shares. Quarter plus next three.

Quarter	Reference claims	Weighted change	Total claims	Ceiling / share
Q3 2026	521.0	0.0	521.0	264.93
Q4 2026	521.0	0.0	521.0	289.88
Q1 2027	521.0	0.0	521.0	311.02
Q2 2027	521.0	0.0	521.0	329.67
Q3 2027	521.0	0.0	521.0	348.99
Q4 2027	521.0	0.0	521.0	370.80
Q1 2028	521.0	0.0	521.0	388.80
Q2 2028	521.0	0.0	521.0	405.17
Q3 2028	521.0	0.0	521.0	422.16
Q4 2028	521.0	0.0	521.0	440.57
Q1 2029	521.0	0.0	521.0	459.08
Q2 2029	521.0	0.0	521.0	477.69
Q3 2029	521.0	0.0	521.0	496.94
Q4 2029	521.0	0.0	521.0	517.66
Q1 2030	521.0	0.0	521.0	528.53
Q2 2030	521.0	0.0	521.0	-
Q3 2030	521.0	0.0	521.0	-
Q4 2030	521.0	0.0	521.0	-

Claim decisions, overlap and triggers

DELIVERY

p: 0.7

source: September 11 management discussion

bounded: Up to $100M later-than-normal shipments, not firm incremental backlog; use $100M x80% deliverability x50% exclusion of already modeled recovery = $40M conditional, split Q1/Q2 2027.

bridge: 68% GP less 10% expediting/service = $23.2M conditional OP, $16.24M weighted. One-time timing increment only; later reference run-rate already includes capacity.

counter: Order mix includes deferred software and long-dated projects; backlog can cancel.

TEST_INTENSITY

p: 0.55

source: Q2/Q3 prepared remarks; original N4378A technical overview

bounded: 2027 extra 2,000 USD100,000 invoice equivalents x80% non-overlap = $160M; 2028/29/30 = $300M/$440M/$550M. $100k is a system-plus-software modeling proxy, not a published price.

bridge: 65% incremental GM less 22% R&D, applications and service = 43% OP; 2027 weighted $37.84M. Does not separately add each 800G/1.6T/CPO/interconnect label as a fresh end market.

counter: Parallel testing, utilization of installed tools, qualification delays and VIAVI competition reduce orders per bit.

PRICING

p: 0.6

source: September 11 CEO/CFO time-to-market and supplier-cost remarks

bounded: 20% of sales eligible on new or repriceable orders, 3% premium within a 2-4% range, 40% already reflected in reference. Net conditional 0.36% sales in 2027/28, 0.24% 2029, 0.12% 2030.

bridge: 85% GP retention less 5% applications/service cost = 80% incremental OP. Fixed-price backlog not repriced. Pricing applies reference invoices only, excluding incremental test/delivery units.

counter: Management has not disclosed an executed SKU-level premium; optional contracts and customer substitution constrain persistence.

COMPONENT_COST

p: 0.45

source: September 11 supply discussion

bounded: 20% purchased exposed content x5% extra cost x25% residual after pass-through/overlap = 0.25% sales in 2027/28; halves 2029 and again 2030.

bridge: Direct negative GP and OP, no extra demand. Separate from pricing transaction costs; only unrecovered cost beyond normal reference margin.

counter: Internal capacity resolved; supplier bottlenecks may ease faster.

CYCLE_EXECUTION

p: 0.3

source: Management order duration, ramp capacity and competition

bounded: 6% shortfall in modeled wireline and semiconductor/photonics invoices from 2027.

bridge: 65% lost GP offset by 20% saved variable expense =45% decremental OP. Core R&D fixed costs remain.

counter: Manufacturing orders become less predictable as development transitions to deployed capacity.

SYNERGIES_AND_SPIR_ENT

p: 1

decision: No additional $100M synergy increment: FY27 reference cash opex already includes $50M annual step from FY26 realized savings. High-speed Ethernet, network security and channel emulation assets sold to VIAVI do not remain in Keysight.

zero reason: The applicable sales/cost base already includes acquired retained businesses. Double counting the full synergy target or divested 1.6T business would overstate OP.

Remaining bounded uncertainties

- No published unit ASP or unit mix for the 220 GHz analyzer; invoice equivalents are assumptions.

- Only CSG/ADG/commercial and EISG totals disclosed; wireline/wireless and EISG sub-vector allocations are modeled.

- Full July SEC HTML request was blocked; issuer financial tables and SEC cover/debt/intangible/equity notes were retrieved and reconciled.

- Calendarization assumes uniform monthly delivery inside fiscal quarters; actual monthly order timing can differ.

- Future acquisitions, large buybacks and future tariff recoveries have zero incremental assumed value.

- All 32 operating combinations retain positive equity and cash under the stated debt repayment, tax, capex and working-capital assumptions; this is not an assurance against larger unmodeled shocks.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] q3 deck | 2026-08-18 | https://s22.q4cdn.com/444849635/files/doc_earnings/2026/q3/presentation/Q3-26-Results-Presentation.pdf | Archived SHA-256: 5d216a5fc77863487e1380076843dd9b72ee73876597580b06990c518236e0b4

[2] q3 prepared | 2026-08-18 | https://s22.q4cdn.com/444849635/files/content_files/Q3-FY2026-Prepared-Remarks.pdf | Archived SHA-256: bc9b66e5098ea3198fee6f7167950f5c3fe4150fdfe32d7adb557e127b8b48dd

[3] q2 deck | 2026-05-19 | https://s22.q4cdn.com/444849635/files/doc_earnings/2026/q2/presentation/Q2-26-Results-Presentation.pdf | Archived SHA-256: e95306b359304b2828039d79b25722898d5b6dbc3a1089774d1931d7b9d27de5

[4] q2 prepared | 2026-05-19 | https://s22.q4cdn.com/444849635/files/doc_earnings/2026/q2/transcript/Q2-FY2026-Prepared-Remarks.pdf | Archived SHA-256: 7375f5e2733dd55958a45b272b94a1a8fe92f8f5a58cd7fbec669451d587f2b7

[5] q3 call | 2026-08-18 | https://stockanalysis.com/stocks/keys/transcripts/675583-q3-2026/ | Archived SHA-256: d41ae90380c6e26080c6ebb26050a9a2719b8113f48052e0f7c8b287fe69f9ad

[6] q2 call | 2026-05-19 | https://stockanalysis.com/stocks/keys/transcripts/564713-q2-2026/ | Archived SHA-256: b623ffeef7310b037b463b51a7fa707d0ccda6b55578f5c2dbaed32b6f15e118

[7] q3 financials | 2026-08-18 | https://s22.q4cdn.com/444849635/files/doc_earnings/2026/q3/supplemental-info/Q3-26-Financial-Information.pdf | Archived SHA-256: 8c2cc4c99beb82fa10404aa289d7c116708ac071a8e4f20a3a3c1a99c86fd318

[8] q2 financials | 2026-05-19 | https://s22.q4cdn.com/444849635/files/doc_financials/2026/q2/Q2-26_Financial-Information-_20260520.pdf | Archived SHA-256: fe4b0075de5ca4a7779176a6e1573528ffba5a04e2a08bf500c0d2f3c253fcbd

[9] lca220 technical | 2026 | https://www.keysight.com/sg/en/assets/3126-1109/technical-overviews/N4378A-220-GHz-Lightwave-Component-Analyzer.pdf | Archived SHA-256: bee02a947e8e4ad8bb156c3019eed3bc844ed161c58ed4c83a8564266dbec71b

[10] viavi close | 2025-10-16 | https://www.viavisolutions.com/en-us/news-releases/viavi-closes-acquisition-spirent-communications-plcs-high-speed-ethernet-network-security-and | Archived SHA-256: 39b8f9f93ee643000e8195d7c686cd7c4a7d7e2a16727cb2f08cbb71fb01e391

[11] sept call | 2026-09-11 | https://earningscalls.dev/transcripts/keysight-technologies-inc_keys_earnings_call_transcript_2026-09-11 | Archived SHA-256: 8b8d5f1f3ffa617e68ab28ae097c65df6ce29d2cd04971590b5afd35745f06b6

[12] N4378A 220 GHz Lightwave Component Analyzer technical overview | 2026; preliminary | https://www.keysight.com/content/dam/keysight/en/doc/ungate/technical-overviews/N4378A-220-GHz-Lightwave-Component-Analyzer.pdf | Archived SHA-256: 96076d0200305e0e02b9fcab963a0139f22ce01d87388fa1339eb51e8eed16e0

[13] July 10-Q cover and debt notes, SEC structured filing | 2026-08 | https://www.sec.gov/Archives/edgar/data/1601046/000160104626000036/R18.htm | Archived SHA-256: 99caf7da9f11d28d930732d5f28fb52474edadfd3f5520d347cfc48c6a827321

[14] July 10-Q acquired intangibles and equity notes | 2026-08 | https://www.sec.gov/Archives/edgar/data/1601046/000160104626000036/R15.htm | Archived SHA-256: fcadec1d2b8552ffd266bc3a200e22434c2624d15b5c81a9bfb5a249ecd2300d

[15] Dated NYSE quote, prior completed close | 2026-10-06 | https://chartexchange.com/symbol/nyse-keys/historical/

[16] Keysight 224G optical and electrical validation release | 2026-03-13 | https://www.keysight.com/zz/en/about/newsroom/catalog/news-release.2026.0313-pr26-049-keysight-introduces-new-224g-test-solutions-to-enable-1-6t-optical-network-validation.html